

Sales & Trading Simulation

GLOBAL MACRO RESEARCH



AMPLIFY ME
EXPERIENCE FINANCE

INVESTMENT BANK SALES TRADER: SELL-SIDE OBJECTIVES

- **Client Relationships:** Communicate regularly with your clients in order to form and maintain strong relationships.
- **Maximise Commission:** Facilitate as many client trades as you can.
- **Competitive Prices:** Provide tight bid/offer spreads for clients when they ask for quotes. Bad/wide spreads will mean clients will be unlikely to trade with you.
- **Manage Risk:** When a client accepts a trade with you, the bank will automatically be put into the opposite position. Trade out of these positions of risk by using cross-trades with other investment banks, or by using the exchange..
- **Profit and Loss:** Profit is risk for an Investment Bank. Ensure that your PnL does not exceed your final amount of commission.
- **Manage Market Impact:** When trading out of risk positions on the exchange, break positions up into smaller execution sizes to avoid PnL losses through market impact.

HEDGE FUND: BUY-SIDE OBJECTIVES

- **Investment Strategy:** Multi Asset, \$20 million capital. Use both long and short strategies. All assets are priced in US dollars.
- **Investment Time Horizon:** 45 minutes simulation time will be equivalent to investing through a fictitious 3-month time period.
- **Investment Objective:** To generate as high a return on investment as possible.
- **Execution:** Avoid large market impact on the exchange. Achieve more competitive prices by trading through the investment banks.

MACRO OVERVIEW

The US economy finds itself in a strong recovery, following a deep recession the year before. Consumer spending is on the rebound, monetary policy is still very loose however, and the Federal Reserve is expected to start tapering its asset purchasing programme.

Tapering refers to the gradual slowing of the pace at which the Fed purchases large scale assets. This is essentially a slowing of quantitative easing, as the Fed has been injecting money into the economy to recover from the economic downturn caused by the COVID - 19 pandemic.

Market participants & Central Bankers around the world have been debating whether or not inflation will be transitory or persistent. Whilst inflation has been steadily creeping upwards, having reached 5.4% this month, central bankers have taken the 'transitory' side. Market participants have pointed out that due to the current supply chain crisis and increasing consumer demand, inflation may be more persistent and are expecting interest rate hikes in the following year.

Interest rate hikes are intended to bring inflation down to the target level of 2%. If interest rates rise, banks would borrow at a much higher cost, which in turn leads to them increasing their interest rates for consumers. Ultimately, the goal is to reduce consumer spending as it becomes more expensive to borrow money. Inflation, tapering & interest rates will be the main theme of macroeconomic news in the coming year.

1. EQUITIES

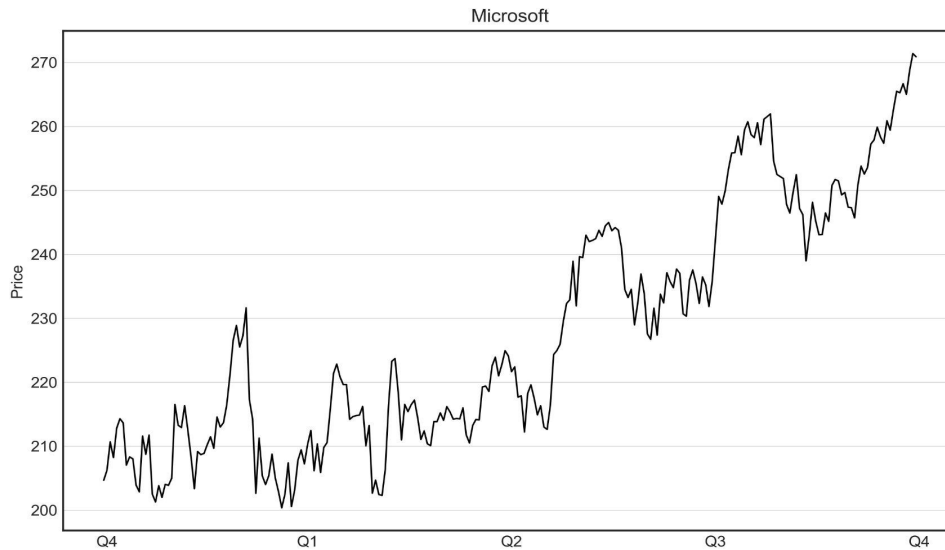
NASDAQ Composite Index (NASDAQ)



The NASDAQ has performed strongly in the past year. NASDAQ constituents are expected to benefit from long-term trends such as the growth of e-commerce and artificial intelligence.

The greatest concern for investors looking at the NASDAQ would be a potential rise in interest rates, which would cause technology valuations to suffer. Additionally, the NASDAQ's relatively high valuation makes it vulnerable to a sell-off.

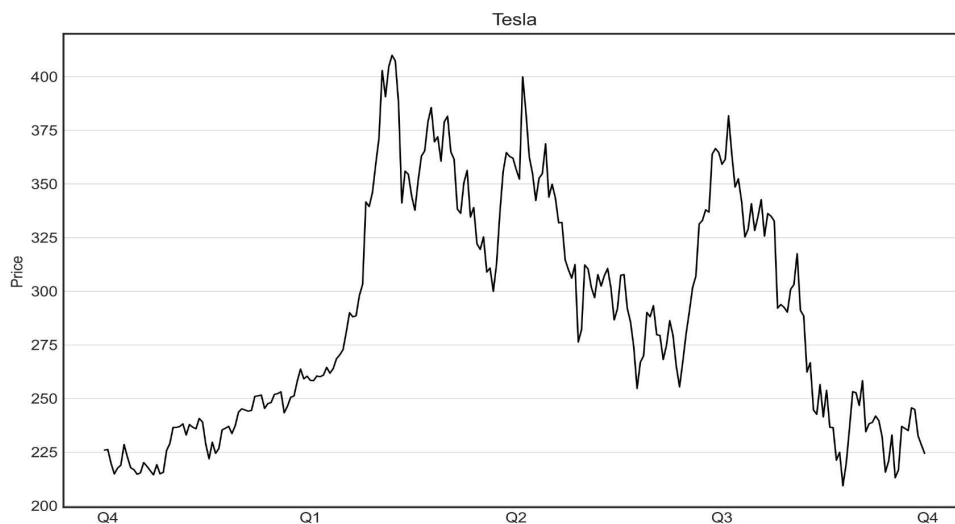
Microsoft Corporation (MSFT)



Microsoft's share price has experienced substantial growth over the last year. Increased demand for cloud services, strong financial performance and strategic acquisitions have contributed are just some of the factors that have contributed to this growth. Specifically, as remote work became the norm during the pandemic, The tech giant has benefitted immensely from a rise in demand for its cloud services including Azure & Microsoft 365.

Despite the ongoing uncertainties and some market volatility, Microsoft's share price remained on an upward trend, reflecting the company's continued strength in the tech sector and its ability to adapt to evolving market conditions.

Tesla, Inc. (TSLA)



Tesla, the world's leading electric vehicle (EV) maker, has seen a rapid rise in its share price in the first half of the year, however as the pandemic has heightened, its share price have plunged. Although Tesla has a strong brand and a loyal customer base, reduced demand for vehicles in general have impacted the share price in the latter half of 2020.

Moreover, Tesla is facing increased competition from other EV makers, such as Volkswagen, as well as increased Chinese competition. Finally, Tesla CEO Elon Musk has been criticized for his erratic behavior and his tweets, which have been known to move the company's stock price.

Currently, Elon Musk is navigating a bid to buy Twitter. If this is successful, it is likely to deter Tesla investors who feel that Musk may be preoccupied with his new acquisition at the expense of Tesla. Keep an eye out for news regarding the progress of this acquisition.

Volkswagen (VW)



Volkswagen, a German automobile manufacturer, has been on a downtrend this past year, the stock is down nearly 45%. The year before, Volkswagen had announced that it was planning to deliver a total of 450,000 EVs to customers, this was more than twice the number of vehicles delivered the previous year.

This led to a positive effect on VW's share price as it reached all time highs. However a downtrend began at the beginning of the year, although there have been technical rebounds throughout the year, none have led to a higher high. Due to this downtrend, Volkswagen nearly lost all the gains it made from the EV announcement.

However, there has been a buzz about VW's new electric SUV that will be revealed in Q1 of the upcoming year, there has been a growing number of interest in other EV's as Elon Musk's erratic behaviour has drawn potential customers away from Tesla. Analyst expect a slight recovery for VW in the coming year.

BP p.l.c (BP)



BP p.l.c. is a British multinational oil and gas company headquartered in London, England. BP's share price tends to correlate strongly with the price of oil. BP's share price took a major drop last year with more than half of its value being wiped out.

The downside pressure was driven by both a collapse in oil demand due to the global lockdowns implemented to stop COVID-19 spreading, but also an increase in supply as OPEC and Russia failed to agree on extending production cuts. Analysts are hoping for an agreement to further cut production at the next OPEC meeting.

2. COMMODITIES

Gold Futures (GOLD)



Investors have turned to gold as a safe haven investment, hoping to protect themselves from market volatility and uncertainty. Due to this, During the latter half of 2020, gold reached all time highs surpassing \$2000 per ounce.

However as the global economy has begun to stabilise and and the progress in COVID-19 vaccinations lessened the reasons that had initially boosted gold's rapid rise.

Although gold had come down from its highest point, it still played a crucial role in diverse investment portfolios, acting as a way to protect against rising prices and as a safe choice in uncertain times.